Retirement Bucket Strategy

Fire protection systems depend on a stable and reliable water supply; in many ways, your retirement corpus is no different. A closer look at how fire safety works in large buildings offers a useful analogy. When firefighters arrive at the scene, their vehicles carry an in-built water tank that allows them to begin tackling the fire immediately. Simultaneously, other firefighters connect hoses to the building's fire hydrant system to ensure a continuous supply of water. These hydrant tanks are critical because they provide a dedicated and uninterrupted flow of water for as long as the firefighting operation continues. The retirement bucket strategy works on a similar principle. Under this approach, your accumulated retirement corpus is divided into different "buckets" to ensure that your money lasts throughout retirement. Typically, the savings are split into three buckets, although additional ones can be created depending on individual comfort levels and financial needs. The buckets are structured in a way that ensures a steady flow of money from one to another, so that the bucket you rely on for current expenses is continually replenished, helping sustain a comfortable retirement.

THE FIRST AND IMMEDIATE BUCKET

This bucket holds cash and other safe investments to cover the first few years of retirement income needs, typically the first two years. The money is parked in predictable, low-volatility instruments such as bank FDs or savings accounts. It acts as a safety cushion during market downturns or periods of high volatility. Depending on your risk-taking ability, you can build the safety net you are comfortable with.

THE SECOND, MEDIUM-TERM BUCKET

This bucket invests in assets aimed at balancing income generation with capital preservation, while seeking higher returns than cash. It may include fixed-income investments with a higher return and risk profile than the near-term bucket, but lower risk than the long-term bucket. Its primary purpose is to periodically replenish the first bucket. At regular intervals, money flows from this bucket into the near-term bucket, ensuring that it never runs dry. The investments here could also take the form of dividends that are channelled into the first bucket.

THE THIRD, LONG-TERM BUCKET

Most of the savings in this bucket are invested in long-term growth assets, primarily equities. This is the bucket designed to help beat inflation over time. Unlike the first two buckets, the focus here is less on capital preservation and more on long-term growth within a level of risk you can comfortably withstand. To maintain your dignity in retirement, consider limiting discretionary spending during market downturns and in years of uncertainty. Remember, the purpose of the retirement corpus is to see you through retirement without any hiccups. By following a conservative withdrawal approach early in retirement and planning for temporary adjustments later, you may be able to weather market fluctuations, changes in tax laws and inflation.